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PART I

Acts, Ordinances, President's Orders and Regulations

GOVERNMENT OF PAKISTAN

MINISTRY OF LAW, JUSTICE AND HUMAN RIGHTS DIVISION

Islamabad, the 27th August, 2005

No. F. 2(1)/2005-Pub.—The following Ordinance promulgated by the President is hereby published for general information:—

ORDINANCE No. XVI of 2005

AN

ORDINANCE

*further to amend the Pakistan Telecommunication (Re-organisation)
Act, 1996*

WHEREAS it is expedient further to amend the Pakistan Telecommunication (Re-organization) Act, 1996 (XVII of 1996), for the purposes hereinafter appearing;

AND WHEREAS the National Assembly is not in session and the President is satisfied that circumstances exist which render it necessary to take immediate action;

(727)

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NOW, THEREFORE, in exercise of the powers conferred by clause (1) of Article 89 of the Constitution of the Islamic Republic of Pakistan, the President is pleased to make and promulgate the following Ordinance:—

It is hereby enacted as follows:—

1. **Short title and commencement.**—(1) This Ordinance may be called the Pakistan Telecommunication (Re-organization) (Amendment) Ordinance, 2005.

(2) It shall come into force at once.

2. **Amendment of section 2, Act XVII of 1996.**—In the Pakistan Telecommunication (Re-organization) Act, 1996 (XVII of 1996), hereinafter referred to as the said Act, in section 2,—

(a) for clause (a) the following shall be substituted, namely :—

“(a) “Access Promotion Contribution (APC)” means the payments made by LDI Licensees to LL Licensees or to the Universal Service Fund pursuant to the rules made under this Ordinance;”;

(b) after clause (a), substituted as aforesaid, the following new clauses shall be inserted, namely:—

“(ab) “Authority” means the Pakistan Telecommunication Authority established under section 3;”;

(c) after clause (q), the following new clauses shall be inserted, namely:—

“(qa) “R&D Fund” means the Research and Development Fund established under subsection (1) of section 33C;”;

(d) after clause (x), the following new clause shall be inserted, namely :—

“(xa) “USF” means the Universal Service Fund established under sub-section (1) of section 33A;”.

3. **Amendment of section 21, Act XVII of 1996.**—In the said Act, in section 21,—

(a) in sub-section (3),—

- (i) the words and comma “ Except for the licence granted to the Company for basic telephone service,” shall be omitted.

4. **Insertion of new Chapter III A , Act XVII of 1996.**—In the said Act, after Chapter III , the following new Chapter shall be inserted, namely :—

“CHAPTER III-A

SPECIAL FUNDS

33A *Establishment of USF.*—(1) As soon as may be, after the commencement of this Pakistan Telecommunication (Amendment) Ordinance, 2005, the Federal Government shall, by notification in the Official Gazette, establish a Fund to be called the Universal Service Fund hereinafter referred to as USF.

(2) The USF shall be under the control of the Federal Government and therein shall be credited any sums of money mentioned under subsection 4.

(3) The balance to the credit of the USF shall not lapse at the end of the financial year.

(4) The USF shall consist of—

- (a) grants made by the Federal Government and the Provincial Governments;
- (b) prescribed contribution by licensees;
- (c) sale proceeds from the auction of the right to use radio spectrum;
- (d) loans obtained from the Federal Government; and
- (e) grants and endowments received from other agencies.

33B. *Administration and utilization of USF.*—(1) The Federal Government shall have the power to administer the USF in such manner as may be prescribed.

(2) The USF shall be utilized exclusively for providing access to telecommunication services to people in the un-served, under-served, rural and remote areas and other expenditure to be made and incurred by the Federal Government in managing USF.

(3) The Federal Government shall be responsible for the coordination and ensuring timely utilization and release of sums in accordance with the criteria as may be prescribed.

33C. *Research and Development Fund.*—(1) As soon as may be, after the commencement of this Pakistan Telecommunication (Re-organization) (Amendment) Ordinance, 2005, the Federal Government may by notification in the Official Gazette, establish a Fund to be called the Research and Development Fund.

(2) The Research and Development Fund shall be under the control of the Federal Government and therein shall be credited any sums of money mentioned under sub-section (4).

(3) The balance to the credit of the Research and Development Fund shall not lapse at the end of the financial year.

(4) The Research and Development Fund shall consist of—

(a) grants made by the Federal Government;

(b) prescribed contribution by licensees;

(c) loans obtained from the Federal Government; and

(d) grants and endowments received from other agencies.

33D. *Administration and utilization of Research and Development Fund.*—(1) The Federal Government shall have the power to administer the Research and Development Fund in such manner as may be prescribed.

(2) The Fund shall be utilized exclusively for prescribed research and development activities in the field of information communication technology and other expenditure incurred by the Federal Government in managing Research and Development Fund.

(3) The Federal Government may coordinate with relevant entities to ensure timely utilization and release of sums in accordance with the criteria as may be prescribed.

33E. *Audit and public information.*—(1) The accounts of USF and Research and Development Funds shall be—

(a) maintained in such form and manner as the Controller General of Accounts may determine;

- (b) audited by a Chartered Accountant as defined in the Chartered Accountants Ordinance 1961 (X of 1961), and the Auditor General of Pakistan.

(2) The Federal Government shall, after the end of every financial year, submit to the National Assembly the audited annual statement of accounts of both the Funds, together with the report of the Auditor General of Pakistan.

(3) The Federal Government shall also publish after the end of every year a report on the state of universal service and research and development and on its activities in this regard during that year."

5. **Amendment of section 37, Act XVII of 1996.**—In the said Act, in section 37, the figure and comma "90," shall be omitted.

6. **Insertion of new section 37A, Act XVII of 1996.**—In the said Act, after section 37, the following new section shall be inserted, namely :—

"37A. The "A" ordinary shares and "B" ordinary shares issued by the Company shall be deemed to be validly issued in terms of the Companies Ordinance, 1984 (XLVII of 1984)"

7. **Amendment of section 57.**—In the said Act, in section 57,—

(a) in sub-section (1), the words "and where provided for hereinbefore" shall be omitted; and

(b) in sub-section (2), after clause (a), the following new clauses shall be inserted, namely:—

"(ab) the manner in which the USF and Research and Development funds may be administered;

(ac) the criteria based on which sums may be released from USF and Research and Development funds;

(ad) preventing, prohibiting, and remedying the effects of, anticompetitive conduct by licensees;

(ae) regulating agreements or arrangements by licensees in respect of international telephony service;

(af) requiring licensees that handle international telephony service to make payments (i) to prescribed categories of licensees that terminate international telephony service calls in Pakistan in form

of APC and (ii) to the USF in respect of international telephony service calls that prescribed categories of licensees terminate in Pakistan;

- (ag) enforcing national security measures in telecommunication sector; and
- (ah) regarding lawful interception.”.

GENERAL

PERVEZ MUSHARRAF,

President.

JUSTICE (RETD)

MANSOOR AHMED

Secretary.